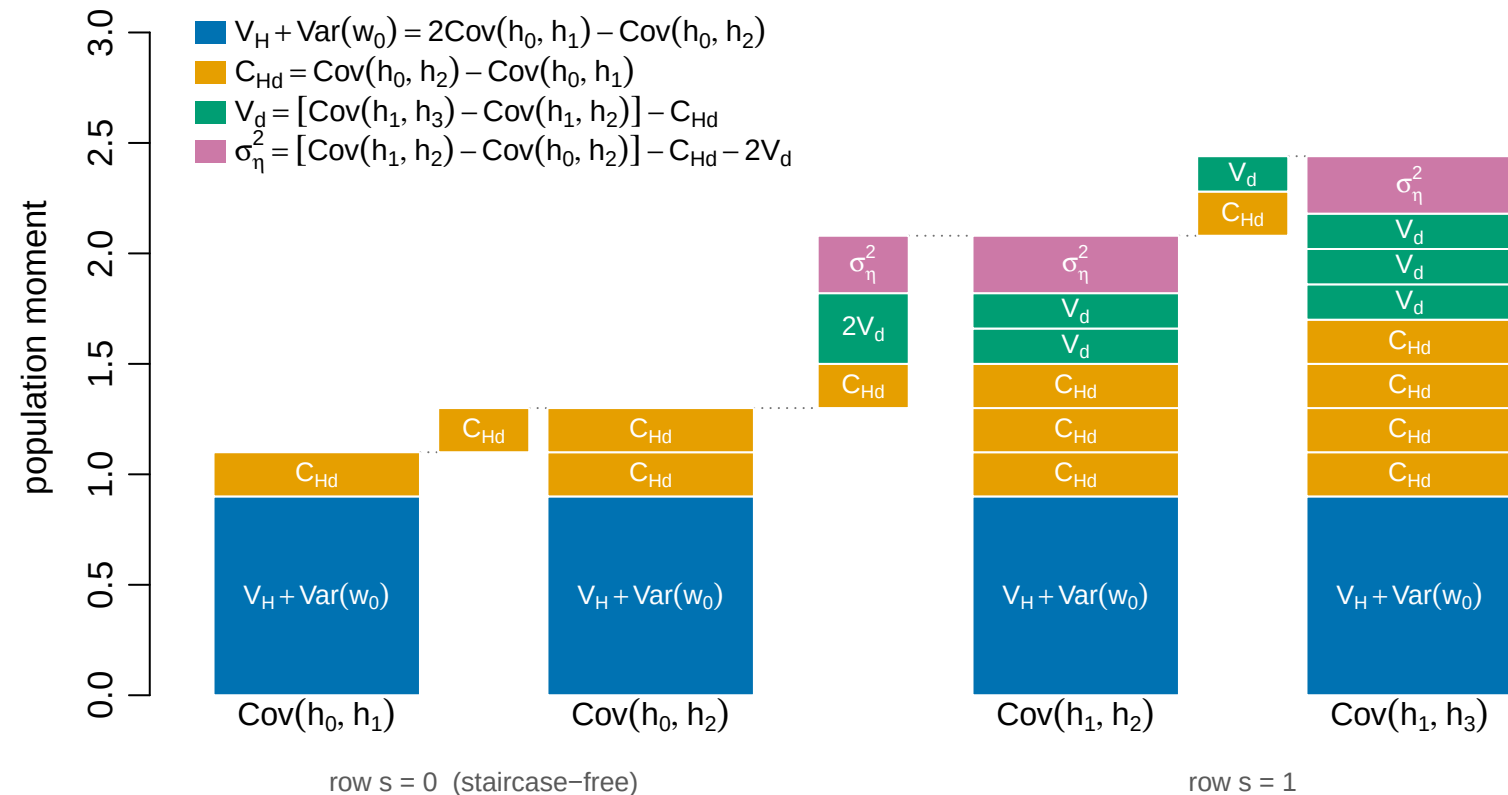


Anatomy of the random-walk case: level covariances gain a staircase

$$\text{Cov}(h_s, h_t) = V_H + \text{Var}(w_0) + (s+t)C_{Hd} + stV_d + \min(s,t) \sigma_\eta^2 \quad (\text{constant } \sigma_\eta^2 \text{ for display})$$



within-row slopes never touch the staircase: row 0 reads the i.i.d. off-diagonal formulas verbatim;
 row 1's steeper slope reveals V_d ; diagonals (not shown) sit $\sigma_{\varepsilon, \bar{a}}^2$ above the off-diagonal formula